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Key Highlights: Smurfit Westrock to Acquire CMPC Chilean Packaging for \$420M × Taiwan Majors YFY & Cheng Loong Declare Zero Tissue Price Hikes × EU PFHxA Ban Final 16-Day Sprint × Suzano Signals October Pulp Price Increases × PCA Closes Ohio Box Plant to Streamline Capacity × China Ivory Board +RMB 200/MT Hikes Fully Realized

Smurfit Westrock South America M&A USD 420 Million Acquires CMPC Chilean Packaging · Landmark cross-border deal secures Pacific containerboard & corrugated footprint for export fruit packaging	Taiwan Tissue Price Stability Zero Price Hike Plans YFY & Cheng Loong Clarify · Refuting rumors to stabilize consumer sentiment; robust pulp reserves absorb fluctuations; Cheng Loong Vietnam 1M MT runs full	EU PFHxA Prohibition Countdown 16 Days Left (Final Sprint) Oct 18 enforcement · Food contact packaging must be zero-PFAS; rush demand for aqueous dispersion barrier cardboards
US Containerboard Raw Spread \$840 / short ton Month 1 full realization · PCA closes Middletown, OH box plant to streamline capacity; SW & Pratt pizza box anti-dumping petition active	China Imported NBSK Spot Price USD 694 / MT (RMB 4,925) Port inventories drop for 12th consecutive week to 2.072M MT; Suzano issues Oct hike; healthy spread at RMB 465 / \$66	China Ivory Board Invoicing Realized +RMB 200 / MT (Full Invoicing) Pre-holiday & Singles' Day packing · Nine Dragons/APP/Bo Hui/Liansheng hikes fully settled; FBB mill quotes firm at RMB 4,350–4,550/MT

1. Executive Summary & Key Strategic Insights

- Cross-Border M&A

Smurfit Westrock to Acquire CMPC's Chilean Containerboard & Corrugated Business for \$420 Million: Global packaging titan Smurfit Westrock entered into a definitive agreement to acquire CMPC's packaging business in Chile for \$420M. The landmark deal secures vital integration across Pacific fresh fruit packaging corridors, while allowing CMPC to focus capital on upstream wood pulp and consumer tissue.
- Consumer Staples

Taiwan Paper Majors YFY and Cheng Loong Clarify: "Zero Price Hike Plans for Tissue Paper": Addressing market rumors of cost-push retail price hikes, Taiwan's leading tissue producers YFY (Mayflower, Delight) and Cheng Loong (Spring Breeze, Dandelion) officially stated that production efficiency and fiber inventories are robust, ruling out tissue price increases for Q4 2026.
- Regulatory Deadline

EU PFHxA Ban Countdown Drops to 16 Days; Final Clearance Wave Sweeps Export Supply Chains: The REACH Annex XVII prohibition on perfluorohexanoic acid (PFHxA) becomes binding on October 18, 2026. European customs and global brands are rejecting fluorinated food contact packaging, triggering rush orders for non-PFAS aqueous dispersion barrier cardboards.
- Capacity Rationalization

PCA Closes Full-Line Corrugated Plant in Middletown, Ohio; Supply Discipline Anchors Raw Spread: Packaging Corporation of America (PCA) announced the closure of its Middletown converting plant on October 2, consolidating production into larger modern facilities. North American containerboard Raw Material Spread holds firm at its historic high of \$840/short ton.
- Pulp Pricing Defense

Suzano Announces October Hardwood Pulp Price Increases to Defend Asian and Global Price Floor: Brazilian pulp giant Suzano issued price increase letters for October deliveries, reinforcing producer

resolve as the Cerrado mega-line ramps up. Asian BHKP spot holds steady at \$628/MT (RMB 4,460), while imported NBSK advances to \$694/MT (RMB 4,925).

6. **Ivory Board Realization** **China's Top 4 Ivory Board Producers Achieve 100% Invoicing Realization for +RMB 200/MT Price Hike:** Nine Dragons, Sinar Mas APP, Bo Hui, and Liansheng have fully transitioned October billings to reflect the +RMB 200/MT increase. FBB spot quotes stabilized at RMB 4,350–4,550/MT (\$638/MT), lifting mill operating margins out of multi-quarter deficits.
7. **Material Science** **Global Micro and Nanocellulose 2026–2036 Strategic Roadmap Highlights NPI and Oji Commercialization:** Major market analysis reveals accelerating adoption of Microfibrillated Cellulose (MFC) and Cellulose Nanofibers (CNF). Nippon Paper (cellenpia®) and Oji Holdings (AUROVISCO) lead efforts to commercialize bio-based barrier coatings that replace PFAS and plastic laminates.
8. **Regional Expansion** **Cheng Loong's Vietnam Mill Runs at 1M MT Full Capacity; North & South Converting Expansion Captures Q4 Peak:** Cheng Loong's Binh Duong paper mill achieved full capacity utilization, while automated converting facilities in Northern and Southern Vietnam expand to meet seasonal surges from footwear, apparel, and electronics brands.
9. **Capital Restructuring** **Long Chen Advances Investment Holding Reorganization to Bolster International Capitalization:** Long Chen Paper announced plans to restructure into an investment holding company to optimize international capital allocation and green finance. Recovered paper containerboard mills in Taiwan and mainland China maintain operating rates above 92%.
10. **Energy Resilience** **Taiwan Paper Mills Lock Steam Costs at NT\$722/Ton (\$22.5) via 48% Biomass SRF Substitution:** Ample coal supplies combined with circular Solid Recovered Fuel (SRF) boiler operations insulate Taiwanese paper manufacturers from domestic electricity rate adjustments, sustaining resilient cost defense.

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	USD 694 / ton (RMB 4,925)	2026-10-02	+USD 2.0 (RMB +10)	Pre-holiday replenishment pushes spot prices; port stocks draw down for 12th straight week
China Imported BHKP Spot Price	USD 628 / ton (RMB 4,460)	2026-10-02	+USD 1.0 (RMB +5)	Suzano October hike announcement anchors global hardwood floor; firm mill intake
SHFE NBSK Futures Settlement (SP)	USD 685 / ton (RMB 4,860)	2026-10-02	+USD 3.0 (RMB +15)	Cash-futures basis disciplined at +USD 9 (RMB +65); long positions steady
China Mainstream Port Pulp Inventory	2.072M tonnes	2026-10-02	-14k tonnes	12th consecutive weekly net outflow; strong outbound shipments at Changshu and Qingdao
NBSK - BHKP Spot Spread	USD 66 / ton (RMB 465)	2026-10-02	+USD 1.0 (RMB +5)	Comfortably beneath 500 RMB substitution tipping point; virgin fiber furnish stable
Europe Imported NBSK Spot (CIF)	USD 1,250–1,315 / ton	2026-10-02	+USD 5	Nordic discipline maintains wide transatlantic premium over Asian benchmark quotes

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-10-02	Flat	Asian mills maintain disciplined procurement节奏; export FAS levels resilient
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-10-02	Flat	Transatlantic container equipment balanced; steady European and Indian intake
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-10	Realized	High containerboard operating rates (~92%) sustain strong domestic mill appetite
China Domestic OCC Benchmark (Grade A)	USD 286 / ton (RMB 2,025)	2026-10-02	+RMB 5	Pre-holiday packing station collection modest; major mills offer token incentives
Taiwan Domestic OCC Mill Gate Price	USD 131.2 / ton (NT\$ 4,200)	2026-10-02	Flat	Domestic recycling collection and mill gate intake remain strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
Americas / Chile	Packaging & Containerboard	Smurfit Westrock to Acquire CMPC Packaging for \$420M	2026-09-24~28 Announced	SW acquires Chilean boxboard plants and leading fruit export packaging position
Taiwan	Consumer Tissue Products	YFY and Cheng Loong Clarify Zero Price Hike Plans	2026-10-01 Stated	Refuting rumors to stabilize retail prices; ample pulp reserves absorb cost variations
US	Containerboard Capacity	PCA Closes Middletown, Ohio Corrugated Plant	2026-10-02 Announced	Deepening supply discipline; consolidating volume into high-efficiency mega plants
China	Coated Ivory Board (FBB)	Majors Realize +RMB 200/MT Price Hike in Billings	2026-10-01 Invoiced	Full invoicing across confectionery, cosmetics, and Singles' Day e-commerce boxes
South America	Hardwood Market Pulp	Suzano Announces October Price Increase Initiative	2026-09-24 Issued	Defending global hardwood floor; solidifying Asian \$628/MT support level
Taiwan	Regional Capacity & Capital	Cheng Loong Vietnam Hits 1M MT; Long Chen Holding Plan	2026-09-30~10-02	Cheng Loong Vietnam runs at full capacity; Long Chen prepares investment holding setup

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$91.80 / bbl	-0.6% WoW	Crude consolidates near \$91.8; chemical sizing (AKD), SBR latex & BSS stay elevated
Forex	USD / TWD Exchange Rate	32.020	NTD +0.02	Moderate NTD strength reduces imported wood pulp and OCC forex settlement costs
Forex	EUR / USD Exchange Rate	1.0980	Euro Firm	Strong Euro limits European containerboard dumping into Asian export corridors
Forex	USD / BRL Exchange Rate	5.0920	Real Steady	Firm Brazilian Real disincentivizes USD discounts on global market pulp sales
Freight	Shanghai Container Freight (SCFI)	3,410.20 pts (USD)	-0.4%	Pre-holiday rush steadies; US West Coast \$6,550/FEU, East Coast \$9,350/FEU
Freight	Baltic Dry Index (BDI)	1,895 pts	+0.5%	Bulk woodchip vessel charters and long-term pulp carrier rates remain steady
Energy	Taiwan Thermal Coal (Taipower CIF)	\$128.50 / ton	-0.2% MoM	Ample Australian coal; mill SRF biomass >48% locks steam at NT\$722/ton (\$22.5)
Energy	China Thermal Coal (QHD 5500)	USD 115.0 / ton (RMB 818)	Controlled	Pre-holiday inventory high; paper mill captive power costs stable at RMB 270–300/t
Energy	Japan Imported Coal (CIF)	\$136.00 / ton	Range-bound	Japanese mills sustain high specialty export prices to absorb elevated power costs

2.5 Food Grade Paperboard, Barrier Coatings & Molded Fiber Radar

Product Category	Specification & Applications	Latest Quote (USD-First / Local)	Trend Dynamics	Industry Implications & Downstream Supply
Food-Grade Ivory Board (FBB)	230–350g High barrier cups and confectionery boxes	USD 638 / ton (RMB 4,480)	+RMB 30/ton	October billings reflect full +RMB 200 hike; mill operating margins turn positive
Non-Fluorinated Grease-Resistant Paper	40–60g KIT 8–9 (Burger wraps / food bags)	USD 1,230–1,280 / ton (NT\$ 39,400)	+USD 10/ton	EU PFHxA ban countdown at 16 days; surge in rush export orders for compliant wraps
Extensible Sack Kraft Paper	70–90g High tensile (SOS shopping and takeout bags)	USD 845–875 / ton (NT\$ 27,200)	Firm Advance	Retail plastic bans drive strong bag demand; Cheng Loong & Japanese bagmakers at capacity
Aqueous Dispersion Barrier Coatings	Aqueous Dispersion Coating (replacing PE extrusion)	USD 2,800–3,180 / ton	Steady / Mild Soft	Economies of scale lower emulsion costs; CHP CircuWell & converters adopt broadly
Bleached Bagasse / Bamboo Pulp Board	Feedstock for molded fiber food containers	USD 550–575 / ton (RMB 3,880–4,050)	Mild Upward	Healthy pre-crush inventories; Zhibang, Shengquan & molded fiber mills run at 89%
Finished Molded Fiber Clamshells	850ml PFAS-free compostable takeaway containers (FOB)	USD 0.058–0.065 / pc	Balanced	Underpinned by Australia APCO & New Zealand ban tenders; robust export volumes

3. Price Trends & Full-Chain Forward Matrix (5 Standard SVGs)

Chart 1 | China Imported NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-10-02)

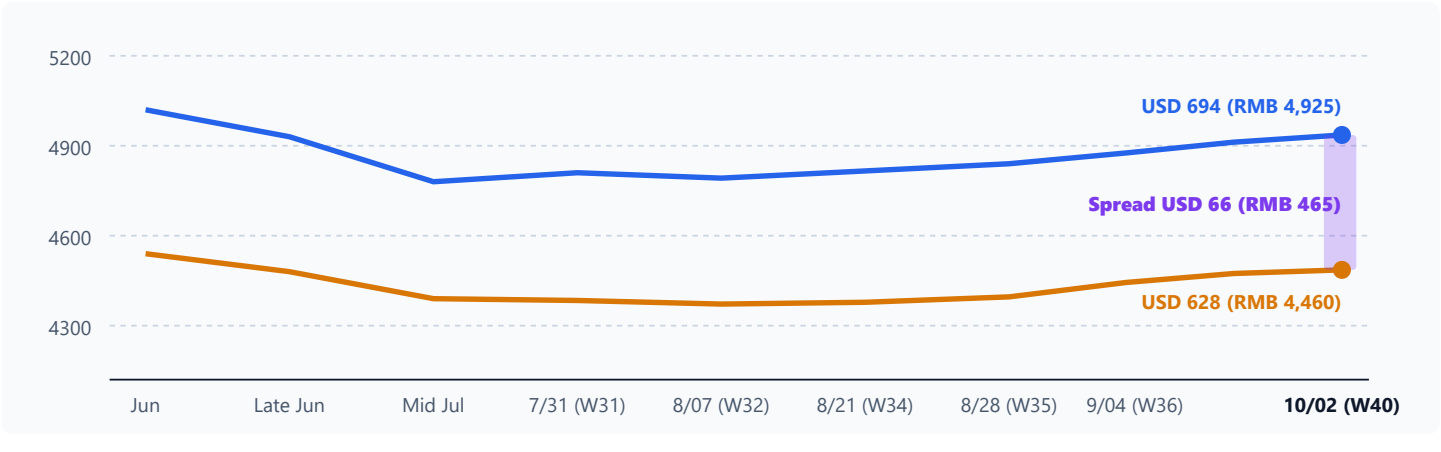


Chart 2 | North American Containerboard Spread Continues Record High (\$840/short ton)

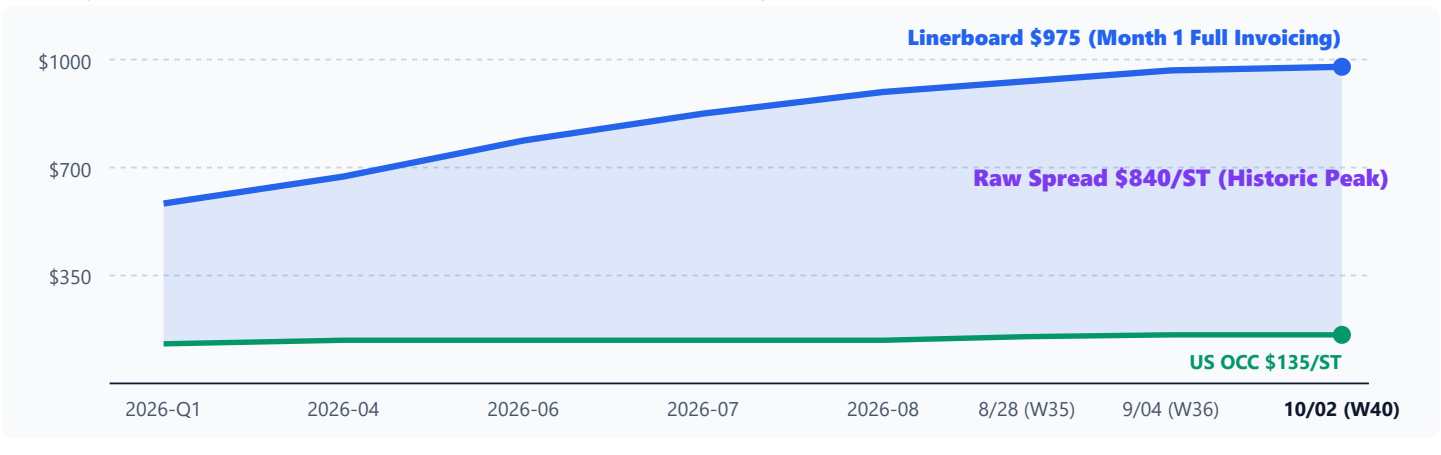


Chart 3 | Taiwan Big 4 Paper Mills Operational Momentum & Q4 Surge (2026-10-02)

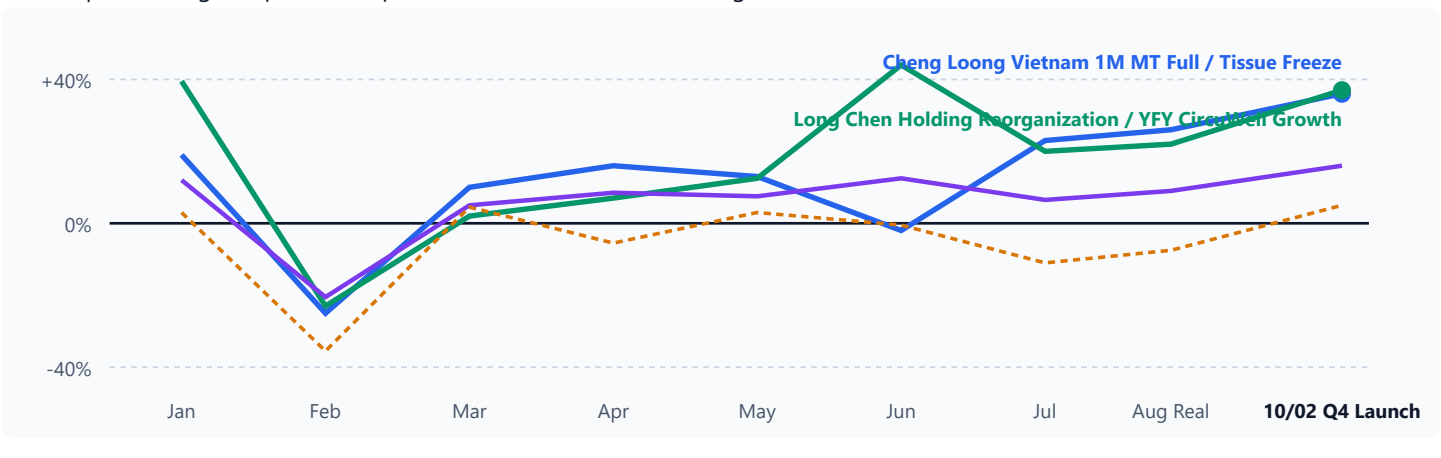


Chart 4 | Containerboard & Ivory Board Global Invoicing & Consolidation Waves (2026-10-02)

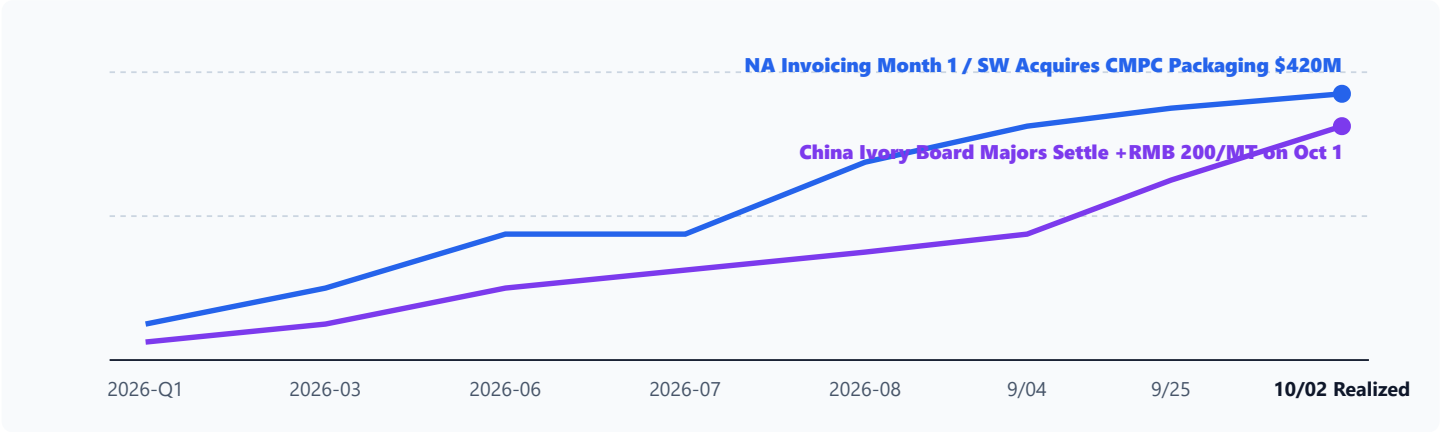
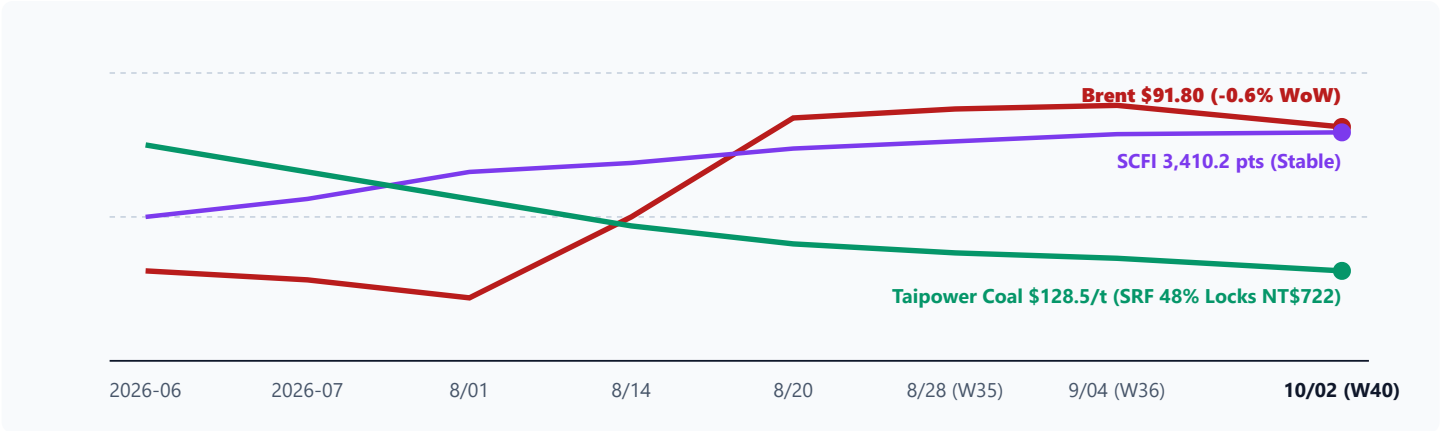


Chart 5 | Global Energy, Maritime SCFI & Taiwan Mill Steam Costs (2026-10-02)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Benchmark	Category	Current Base	1M	3M	6M	Direction	Drivers & Risk Bou
Brent Crude Oil	Energy	\$91.80 / bbl	\$90–95	\$85–92	\$80–88	Consolidating	Geopolitical monitoring; bunker adjustments (BSS) & latex additives remain high
China Imported NBSK	Wood Pulp	USD 694 / ton (RMB 4,925)	\$695–715	\$700–730	\$660–700	Firm Advance	Port inventories drop for 12th week to 2.072M MT; publishing & packaging demand steady
China Imported BHKP	Wood Pulp	USD 628 / ton (RMB 4,460)	\$630–645	\$635–655	\$610–635	Trough Solidified	Suzano Oct hike signals floor defense; Cerrado supply absorbed by healthy buyer demand
US 11# Export OCC	Recovered Fiber	USD 135–137 / short ton	\$135–140	\$138–145	\$125–135	Steady High	High containerboard operating rates (~92%) sustain domestic demand; balanced export FAS
US Linerboard	Packaging Board	\$975 / short ton	\$970–990	\$970–1000	\$940–970	Month 1 Solid	Hikes fully invoiced; Raw Material Spread holds record \$840/t; PCA closes Ohio plant
Food-Grade Ivory Board (FBB)	Food Packaging	USD 638 / ton (RMB 4,480)	\$640–660	\$650–680	\$620–650	Comprehensive Realization	Majors' +RMB 200/MT hike fully settled on Oct 1; ends discounting; Q4 festive rush

4. Feedstock Market Dynamics: Wood Pulp & Recovered Fiber

In market pulp, Brazilian hardwood leader Suzano announced a new round of price increases for October, firmly establishing price defense across Asian and global markets. Nordic and North American softwood producers reinforced export allocation discipline, nudging imported NBSK spot quotes to USD 694/ton (RMB 4,925/ton). Port stocks at Qingdao and Changshu declined for the twelfth consecutive week to 2.072M tonnes, underscoring resilient intake across cultural, tissue, and ivory board mills (~70.5% operating rates). The NBSK-BHKP spot spread held at RMB 465/ton (\$66/ton), well below the 500 RMB threshold, eliminating fiber furnish substitution risks.

In recovered fiber, US domestic box collection remained well balanced, with export FAS quotes holding steady at \$135–\$137/short ton on the West Coast and \$137–\$139/short ton on the East Coast. In China, Grade A OCC mill gate prices ticked up slightly to RMB 2,025/ton ahead of golden week holidays; Taiwan domestic mill gate prices held flat at NT\$4,200/ton (\$131.2/ton).

5. Finished Products: Containerboard, Cultural & Specialty Papers

In containerboard, North American producers PCA, Smurfit Westrock, and International Paper completed their first full month of invoicing at higher price levels, sustaining the record raw material spread of \$840/short ton. Packaging Corporation of America (PCA) announced on October 2 the

closure of its Middletown, Ohio corrugated plant to eliminate high-cost capacity and streamline converting operations. Concurrently, Smurfit Westrock and Pratt Industries continue their anti-dumping petition against unfairly priced imported pizza boxes.

In ivory board and specialty grades, Nine Dragons, APP, Bo Hui, and Liansheng achieved complete billing realization for their +RMB 200/MT hike starting October 1, bringing FBB spot quotes to RMB 4,350–4,550/MT (\$638/MT). Meanwhile, the 16-day countdown to the EU PFHxA prohibition and China's GB 4806.10 entering its second month triggered urgent procurement waves for non-fluorinated aqueous barrier coatings and PFAS-free cardboard.

6. Special Feature: Global & Taiwan Food Packaging Insights (Paper Bags, Cups, Molded Fiber, Folding Cartons)

Executive Summary: With the EU PFHxA ban entering its final 16-day countdown and international plastic phase-outs expanding, sustainable food packaging is experiencing an unprecedented structural upgrade. This column provides an in-depth analysis of **Taiwan's domestic supply chain** while scanning **China, Japan, the United States, New Zealand, Australia, and Southeast Asia**.

6.1 TW Taiwan Market Focus: Tissue Price Stability, Export Packaging & PFAS-Free Conversions

Major Mills Clarify Zero Tissue Price Hikes: YFY (Mayflower, Delight) and Cheng Loong (Spring Breeze, Dandelion) officially stated on October 1 that raw fiber inventories and converting efficiency are fully optimized, confirming zero price increases for retail tissue products in Q4 2026, reassuring consumers and stabilizing market sentiment.

Chung Hwa Pulp (1905): CHP's CircuWell non-plastic, non-fluorinated food board carries German PTS paper recyclability certification (>95% fiber yield) and DIN CERTCO biodegradability certification. Ahead of the Oct 18 EU deadline, CHP has secured international rush orders for grease-resistant burger wraps and bakery bags.

Cheng Loong (1904): Supplies heavy-duty kraft paper shopping bags (20–25 kgf tensile) for hypermarkets and convenience stores. Its 1M MT Binh Duong mill in Vietnam operates at full capacity, with northern and southern box plants expanding to serve major athletic footwear and electronics exporters.

Regional Converters (GPPC, Fulikang, Yongchun, Guangyuan): Central Taiwan converting hubs are accelerating installations of high-speed aqueous coating cup machines and automated SOS bag lines, fully phasing out fluorinated grease-proofing agents in favor of KIT 8–9 non-PFAS coatings.

Bakery & Breakfast Bags: Retail bakery chains and breakfast establishments are systematically transitioning away from wax-coated and plastic bags to non-PFAS kraft greaseproof bags (40–50g).

6.2 CN China Market Scan: Full Realization of Ivory Board Hikes & Molded Fiber Boom

+RMB 200/MT Price Hike Fully Settled: Effective October 1, Nine Dragons, APP, Bo Hui, and Liansheng successfully billed their +RMB 200/MT price increases, with FBB quotes reaching RMB 4,350–4,550/MT, ending multi-quarter operating deficits.

Molded Fiber Exports Surge: Zhejiang Zhibang, Shengquan Group, and YUTO Packaging saw overseas shipments of bagasse clamshells and coffee lids maintain >25% YoY growth, driven by EU PPWR and North American single-use plastic restrictions. Feedstock bagasse pulp board quotes held steady at RMB 3,880–4,050/MT.

GB 4806.10 Reaches 30-Day Milestone: Mandatory enforcement of China's food contact coating standard reached one month, driving aqueous dispersion barrier adoption past 55% in foodservice paperboard.

6.3 JP Japan Market Scan: Nanocellulose (MFC/CNF) 2026-2036 Strategic Push & Convenience Stores

Commercial Nanocellulose Barriers: Newly published research on the 2026–2036 micro- and nanocellulose market highlights Nippon Paper (cellenpia®) and Oji Holdings (AUROVISCO) utilizing CNF/MFC barrier coatings to replace aluminum foil and fluorinated chemicals in high-barrier food packaging.

Convenience Store De-Plastification: Japan's top 3 chains (7-Eleven, Lawson, FamilyMart) continue phasing out single-use plastics, deploying non-PFAS kraft bags for hot fried snacks and testing molded fiber bento trays.

Paper Bag Leaders: The Pack (3950.T) and Shimojima (7482.T) reported a 14.5% YoY rise in high-tensile shopping bags and twisted paper handle bags, benefiting from tourism and retail demand.

6.4 us US Market Scan: QSR Fluorine Bans, Sabert Acquisition & Plant Consolidations

QSR Chains Complete Transition: McDonald's, Starbucks, and Wendy's have eliminated fluorinated packaging in compliance with California AB 1200 / SB 54 and FDA commitments, switching to aqueous barrier wraps and BPI-certified molded fiber.

Food Packaging Consolidation: Packaging leader Sabert was acquired by private equity firm Butterfly Equity to accelerate global expansion in sustainable fiber food containers; Graphic Packaging and Novolex operate SOS kraft bag lines at 93% capacity.

6.5 NZ/AU ANZ Market Scan: NZ Plastic Regulations & Australia APCO Mandates

New Zealand Enforcement: Complete bans on hard-to-recycle plastic containers compel supermarkets to switch 100% to FSC kraft bags and bagasse meat trays.

Australia APCO 2026 Push: State-level bans on EPS containers drive Detmold Group to expand recyclable cup production and secure long-term procurement of non-PFAS molded fiber containers from Asian suppliers.

6.6 Southeast Asia Market Scan: Indonesia Food Packaging Rules, SCGP & Vietnam

Indonesia Regulation Guidelines: New food packaging standards in Indonesia tighten scrutiny on plastic migration, boosting demand for APP's Foopak BioContainer aqueous barrier products across regional export channels.

Vietnam Converting Cluster: SCGP continues expanding regional paper packaging assets, while Cheng Loong's 1M MT Binh Duong mill provides a solid fiber foundation for Vietnam's expanding packaging export cluster.

7. Corporate Strategy & Global Expansion

Smurfit Westrock (NYSE: SW): Announced a \$420 million definitive agreement to acquire CMPC's Chilean containerboard and corrugated packaging business, securing key packaging assets across Pacific fruit export corridors and cementing its leadership across the Americas.

Packaging Corporation of America (NYSE: PKG): Announced on October 2 the closure of its Middletown, Ohio box plant to eliminate high-cost capacity and optimize manufacturing footprint, protecting its \$840/short ton raw material spread.

Taiwan Paper Duopoly (YFY & Cheng Loong): Issued public clarifications confirming zero plans for retail tissue price increases, demonstrating supply chain discipline. Cheng Loong's Vietnam operations run at full capacity, while Long Chen advances its investment holding structure.

8. Strategic Procurement & Decision Matrix

Category	Market Signals & Intel	Core Assessment	Procurement Recommendation
Containerboard (Liner / Medium)	SW acquires CMPC packaging for \$420M; PCA closes Middletown plant; spread \$840	Raw spreads remain at historic peaks; producers exercise rigorous supply discipline	Lock In Q4 Volume: Secure contracted volumes ahead of e-commerce and export peaks; hold 45–60 days safety stock.
Food-Grade Ivory Board (FBB)	Top 4 Chinese mills realize +RMB 200/MT hike on Oct 1; GB 4806.10 active	Destructive price war concluded; festive and Singles' Day demand absorbs supply	Execute Fixed-Price Contracts: Secure forward supply agreements to prevent Q4 secondary hike exposure.
Kraft Paper Bags	Japan The Pack up 14.5%; Novolex running full; Taiwan bakery transitions	Retail plastic bans expand structural demand for paper grocery and SOS bags	Upgrade Automated Bag Lines: Converters should invest in automated paper handle converting assets.
Molded Fiber (Pulp Ware)	ANZ EPS bans accelerate; Zhibang & Shengquan order books full	Molded pulp is the irreversible substitute for takeaway EPS containers	Establish Feedstock Partnerships: Secure bagasse and bamboo pulp board contracts with non-PFAS audits.
Export Food Packaging	EU PFHxA ban countdown at 16 days; FDA PFAS ban; PPWR audits	Final clearance deadline; non-compliant inventory faces seizure at European ports	Transition to Aqueous Barriers: Obtain verified PFAS-free and DfR certifications immediately.

9. Global Regulations & ESG Transformation

- **EU PFHxA Ban Final Countdown (16 Days Remaining):** Effective 2026-10-18, perfluorohexanoic acid and related substances are prohibited across EU food packaging. Supply chains have entered the final clearance sprint.
- **EU PPWR 51 Days in Force:** European port authorities enforce strict border sampling for total fluorine (<50 ppm) and verify Design for Recycling (DfR) declarations.
- **China GB 4806.10-2025 Reaches 30-Day Milestone:** Food contact coating regulations reach full month of enforcement; aqueous bio-based barrier cardboards expand market share beyond 55%.
- **EU EUDR Deforestation Regulation (89 Days Remaining):** Wood pulp, paperboard, and cartons entering the EU require plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation (91 Days Remaining):** Paper mills maintain biomass SRF replacement at 48%, locking steam costs at NT\$722/ton to secure preferential fee discounts.

10. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Sourcing:** The NT Dollar strengthened to 32.020, offering favorable foreign exchange purchasing power. Mills should leverage NBSK at \$694/MT and US OCC at \$135/short ton to secure safety reserves through early 2027.
2. **Tissue Pricing Stability:** YFY and Cheng Loong's commitment to freeze tissue prices protects consumer confidence; mills should leverage biomass cogeneration and fiber optimization to maintain margins.
3. **Containerboard Exporters:** North American spreads at \$840/short ton sustain global price floors. Cheng Loong and Long Chen should capture Q4 holiday export packaging surges across Southeast Asia and Taiwan.
4. **Specialty & Food Packaging Converters:** Facing the 16-day EU PFHxA countdown, Chung Hwa Pulp should accelerate CircuWell export certifications; regional converters must finalize water-based barrier transitions.
5. **Packaging Converters & Boxmakers:** With ivory board price increases fully billed upstream, boxmakers must stand firm on cost pass-through to defend 5–10% gross margins.

11. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano October hike signals → Imported NBSK nudges to \$694/MT → Woodfree and ivory board price hikes (+RMB 200/MT) fully realized on Oct 1 → Printing and folding cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American price hikes reach month 1 full billing + PCA plant closure reinforces supply discipline → Asian imported kraftliner remains firm → Taiwan and SE Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** EU PFHxA 16-day countdown + China GB 4806.10 one-month milestone → Legacy fluorinated/PE paperboards eliminated → Aqueous bio-based barrier paperboard market share exceeds 55%.

12. Key Milestones Calendar

Effective Date	Regulatory & Industrial Milestone	Value Chain Impact & Operational Countermeasures
2026-08-12	EU PPWR Packaging Regulation Enacted	Active for 51 days; European exports subject to DfR recyclable design and PFAS audits
2026-09-01	North American Containerboard Hikes Month 1	PCA, SW, IP full billing reaches month 1; Raw Material Spread solid at \$840; PCA closes plant
2026-09-02	China GB 4806.10 Food Coating Standard Reaches 30 Days	Paper coatings regulated for one month; aromatic amines and PFAS restricted; aqueous barriers surge
2026-09-24	Smurfit Westrock Agrees to Acquire CMPC Packaging	\$420M acquisition secures Chilean corrugated plants and agricultural export packaging
2026-10-01	Taiwan Majors Clarify Zero Tissue Price Hikes	YFY and Cheng Loong commit to price stability, calming consumer and retail markets
2026-10-01	China Ivory Board Majors Realize +RMB 200/MT Hikes	Nine Dragons, APP, Bo Hui, Liansheng fully bill increased quotes, exiting cycle deficits
2026-10-18	EU PFHxA Ban Takes Effect (Countdown: 16 Days)	Fluorinated grease-resistant additives banished from EU food packaging (final clearance week)
2026-12-30	EU EUDR Deforestation Rule Enforced (Countdown: 89 Days)	Imported wood pulp, paper, and boxes must supply plot-level GPS DDS filings
2027-01-01	Taiwan 2026 Carbon Fee Reporting & Formal Levying	Paper mills face inaugural carbon fee declarations; SRF biomass (48%) secures discounts